Focus on Volume Growth & Overall EBITDA Improvement

Est. Vs. Actual for Q3FY26: Revenue – INLINE; EBITDA – BEAT; PAT – INLINE

Change in Estimates post Q3FY26

FY26E/FY27E: Revenue: 2.8%/3.2%; **EBITDA:** 3.6%/3.2%; **PAT:** 4.9%/2.6%

Recommendation Rationale

- **Volume Over Margins Strategy:** Management continues to prioritize absolute EBITDA growth over margin protection to navigate rising competitive intensity. Standalone EBITDA grew 30% YoY, supported by robust 21% volume growth, a favorable mix shift toward higher-ASP variants, and improved pricing. We estimate an EBITDA CAGR of ~15–16% over FY25–28E, below historical trends and consensus expectations.
- **Product Refresh Cycle Sustains Domestic Momentum:** Royal Enfield reported 21% YoY volume growth in Q3FY26, driven by successful variant introductions across its core models - Classic, Bullet, and Hunter. Recent updates to the Meteor 350 and the pan-India expansion of the Bullet 350 have helped counter post-GST demand softness. This refresh cycle is also resonating well with younger buyers, with the Hunter 350 witnessing a 5-6% increase in customers in the 23-24 age cohort.
- **Exports Strengthened by Market Penetration and Local Assembly:** International volumes surged 34% YoY to 1,04,506 units in 9MFY26, underscoring strong export momentum. Brazil remains a key growth driver with the second CKD unit now operational, while SAARC markets, notably Nepal and Bangladesh, continue to show robust demand. However, sentiment remains subdued in ASEAN markets, particularly Thailand. Management reiterated its strategic focus on strengthening its presence in existing high-potential markets rather than pursuing aggressive geographic diversification.

Sector Outlook: Positive

Company Outlook & Guidance: Management remains focused on driving volume growth in the domestic market through new product launches and refreshes while aiming to gain market share. The company remains cautiously optimistic about exports.

Current Valuation: We value RE's standalone business at 31x FY28E EPS (earlier 28x on FY28E EPS) and VECV at 12x EV/EBITDA on FY28E EBITDA (10x EV/EBITDA on FY28E EBITDA).

Current TP: Rs 8,060/share (earlier Rs 6,785/share)

Recommendation: We **upgrade from HOLD to BUY** rating on the stock, driven by strong volume momentum across Royal Enfield and VECV, supported by favorable market conditions.

Financial Performance: Q3FY26 standalone revenue (In line) rose ~22% YoY and 1.5% QoQ, driven by 21% YoY volume growth, while ASP inclined 1 % YoY due to a favourable product mix. EBITDA (6% beat) grew 30% YoY and 8.2% QoQ. EBITDA margin stood at 26.6%, beating estimates by 165 bps and up 162 bps YoY and 167 bps QoQ. The YoY increase was primarily attributed to a stronger product mix, stable commodity costs, and lower other expenses. PAT (in line) rose 22% YoY and 6.8% QoQ.

Outlook: We expect RE volumes to grow at 17% CAGR over FY25-28E, with standalone revenue and EBITDA projected to grow at a 17% and 16% CAGR each over FY25-28E. The long-term growth potential for VECV remains strong, supported by its robust execution capabilities and strong performance in the EV/SCV category.

Valuation & Recommendation: In light of strong volume momentum and an improving outlook, **we upgrade the stock from HOLD to BUY**, with a target price of Rs 8,060/share (earlier Rs 6,785/share). We value the RE standalone business at a sustainable PE of 31x on FY28 EPS (earlier 28x on FY28E) and VECV at 12x EV/EBITDA on FY28E EBITDA (earlier 10x EV/EBITDA on FY28E EBITDA), implying a 11% Upside from the CMP.

Key Financials (Standalone)

(Rs Cr)	Q3FY26	QoQ (%)	YoY (%)	Axis Est.	Variance
Net Sales	5,988	1.5%	22.0%	6,051	-1.0%
EBITDA	1,590	8.2%	29.9%	1,507	5.5%
EBITDA Margin	26.6%	167 bps	162 bps	24.9%	165 bps
Net Profit	1,290	6.8%	22.1%	1,285	0.4%
EPS (Rs)	47.0	6.8%	22.0%	46.8	0.4%

Source: Company, Axis Research

(CMP as of 10th February, 2026)

CMP (Rs)	7,296
Upside /Downside (%)	11%
High/Low (Rs)	7,614/4,644
Market cap (Cr)	2,00,246
Avg. daily vol. (6m) Shrs.	487,704
No. of shares (Cr)	27.42

Shareholding (%)

	Jun-25	Sep-25	Dec-25
Promoter	49.1	49.1	49.1
FIIs	25.8	27.0	27.0
MFs/UTI	11.0	10.9	10.9
Financial Inst.	0.0	0.0	0.0
Others	14.0	13.1	13.1

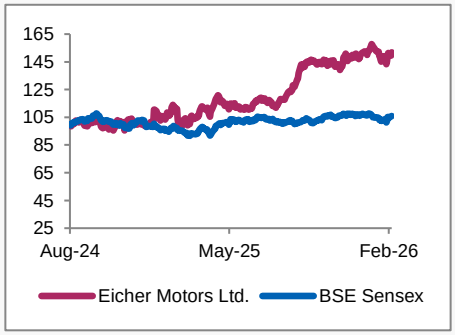
Financial & Valuations

Y/E March (Rs Cr)	FY26E	FY27E	FY28E
Net Sales	22,766	25,353	27,910
EBITDA	5,824	6,455	7,183
Net Profit	5,122	5,729	6,382
EPS (Rs.)	187.3	209.6	233.4
PER (x)	38.9	34.8	31.3
EV/ EBITDA	31.4	27.8	24.4
P/BV (x)	9.8	8.3	7.2
RoE (%)	26.3	25.8	24.6

Change in Estimates (%)

Y/E Mar	FY26E	FY27E	FY28E
Sales	2.8%	3.2%	3.8%
EBITDA	3.6%	3.2%	3.8%
PAT	4.9%	2.6%	3.1%

Relative Performance



Source: Ace Equity, Axis Securities Research

Results Gallery

Q2FY26
Q1FY26
Q4FY25
Q3FY25

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Key Concall Highlights

- **VECV:** In Q3FY26, VECV reported a resilient performance with revenue from operations at Rs 7,019 Cr, marking a 24% YoY increase from Rs 5,801 Cr in Q3FY25. EBITDA rose by 26% YoY to Rs 652 Cr (vs. Rs 517 Cr), driven by volume growth and operating efficiencies. The company sold 26,806 vehicles during the quarter, up from 21,010 units in the same period last year. Within segments, LMD Trucks recorded sales of 12,447units with a market share of 34.5% (vs. 36% YoY), while HD Trucks achieved their highest-ever Q3 sales at 6,850 units, reflecting 14.9% YoY growth. The Bus Division saw a decline of 3.3% YoY with sales of 3,624units (vs. 3,749 units), impacted by softer institutional demand. Meanwhile, exports surged 72.5% YoY to 2,056 units, led by improved traction across key global markets. Spare parts revenue also demonstrated healthy growth of 14.4% YoY, reaching Rs 810 Cr, underscoring the steady contribution from the aftermarket segment.

- **Investments:** VECV will manufacture Volvo Group's industry-leading 12-speed Automated Manual Transmission (AMT) in India, catering to Eicher HD customers, Volvo Group's India operations, and select Asia-Oceania markets, further strengthening India's role as a global manufacturing hub. Building on VECV's Pithampur facility, which has served as Volvo Group's global hub for 5 and 8-litre engines since 2013, this project marks another milestone in the 18-year successful JV between Volvo Group and Eicher Motors. The company will invest Rs 544 crore (576 million SEK) to set up a greenfield AMT plant at Vikram Udyogpuri Integrated Industrial Township, Madhya Pradesh, with an initial production capacity of up to 40,000 units per annum.

- **Production Facilities:** Royal Enfield continues to operate its Oragadam and Vallam Vadagal plants near Chennai at peak utilisation, running 24/7 to meet robust demand, with daily production averaging ~4,300–4,400 motorcycles. The company's installed capacity stands at ~1.2 mn units annually. Internationally, Royal Enfield operates six CKD assembly facilities across Bangladesh, Nepal, Brazil, Thailand, Argentina, and Colombia, supporting export growth and local market penetration. At VECV, the Pithampur and Bagwada (Bhopal) plants are operating at 80–90% utilisation, with management evaluating modular capacity expansion at Bhopal in the coming year, subject to sustained industry growth

- **Dealership Network:** Royal Enfield operates through over 2,000 stores across all major cities and towns in India, as well as nearly 1,150 touchpoints in more than 60 countries worldwide. Royal Enfield has expanded its pre-owned motorcycle business, RE Own, to over 390 cities across India.

- **EV Launch Roadmap:** The first motorcycle under the new "Flying Flea" electric brand, the C6 (classic style), is nearly ready for production and will hit the market "soon," followed by the S6 (scrambler) in approximately eight months.

- **Impact of Trade Deals:** Management is closely monitoring trade negotiations; a potential reduction in US tariffs to 18% and the removal of certain EU duties could significantly improve the accessibility and growth of the 450cc and 650cc portfolios in those markets.

Key Risks to Our Estimates and TP

- Increasing competitive intensity poses a risk to the company in the >250cc segment, where it holds the highest market share.

- Macro-economic headwinds, driving lower exports for longer (than our estimates), could pose a downside risk.

Change in Estimates

	Revised			Old			% Change		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Sales	22,766	25,353	27,910	22,153	24,578	26,881	2.8%	3.2%	3.8%
EBITDA	5,824	6,455	7,183	5,620	6,256	6,919	3.6%	3.2%	3.8%
PAT	5,122	5,729	6,382	4,883	5,586	6,188	4.9%	2.6%	3.1%
EPS	187.3	209.6	233	178.6	204.3	226	4.9%	2.6%	3.3%

Source: Company, Axis Securities Research

Q3FY26 Results Review (Standalone)

YE March (Rs Cr)	Q3FY26	Axis Sec Estimates	Axis Sec Var (%)	Q2FY26	QoQ (%)	Q3FY25	YoY (%)
Domestic 2W	3,00,426	3,00,426		2,92,703	2.6%	2,42,013	24.1%
Exports 2W	28,769	28,769		33,672	-14.6%	30,284	-5.0%
Total Volumes (Units)	**3,29,195**	**3,29,195**		**3,26,375**	**0.9%**	**2,72,297**	**20.9%**
Total Revenue from operations	**5,988**	**6,051**	**-1.0%**	**5,902**	**1.5%**	**4,908**	**22.0%**
ASP (Rs/ vehicle in lakhs)	1.82	1.84	-1.0%	1.81	0.6%	1.80	0.9%
Less:							
Net Raw Material consumed	3,333	3,376	-1.3%	3,340	-0.2%	2,726	22.3%
Other Exp.	670	762	-12.2%	707	-5.2%	644	3.9%
Personnel	395	405	-2.5%	386	2.3%	314	25.9%
Total Expenditure	**4,398**	**4,544**	**-3.2%**	**4,433**	**-0.8%**	**3,684**	**19.4%**
EBITDA	**1,590**	**1,507**	**5.5%**	**1,469**	**8.2%**	**1,224**	**29.9%**
Less: Depreciation	199	185	7.4%	188	6.0%	168	18.3%
EBIT	**1,391**	**1,321**	5.3%	**1,281**	8.6%	**1,056**	31.8%
Less: Interest	7	7	1.5%	7	3.6%	6	28.8%
Add: Other Income	339	403	-15.8%	340	-0.2%	300	13.1%
Profit Before Extraordinary Items and Tax	**1,723**	**1,717**	**0.3%**	**1,614**	**6.8%**	**1,350**	**27.6%**
Extraordinary Expense/(Income)	-55	0		0		0	
Profit Before Tax	**1,668**	**1,717**	**-2.9%**	**1,614**	**3.3%**	**1,350**	**23.5%**
Less: Total Tax	378	432	-12.6%	406	-7.0%	294	28.6%
Profit After Tax	**1,290**	**1,285**	**0.4%**	**1,208**	**6.8%**	**1,056**	**22.1%**
Adj. Net Profit	**1,290**	**1,285**	**0.4%**	**1,208**	**6.8%**	**1,056**	**22.1%**
Shares Outstanding (Cr)	27	27	0.0%	274		27	
Reported EPS (Rs.)	**47.0**	**46.8**	**0.4%**	**4.4**	**967.9%**	**38.6**	**22.0%**
Adj. EPS (Rs.)	47.0	46.8	0.4%	4.4	967.9%	38.6	22.0%

Cost & Margin Analysis	Q3 FY26	Axis Sec Estimates	Change in bps	Q2 FY26	Change in bps	Q3 FY25	Change in bps
Net Raw Material/Net Sales (%)	55.7%	55.8%	(14)	56.6%	-94	55.5%	12
Other Exp./Net Sales (%)	11.2%	12.6%	(142)	12.0%	-79	13.1%	-194
Personnel/Net Sales (%)	6.6%	6.7%	(10)	6.5%	6	6.4%	21
GM (%)	44.3%	44.2%	14	43.4%	94	44.5%	-12
EBITDA Margin (%)	26.6%	24.9%	165	24.9%	167	24.9%	162
EBIT (%)	23.2%	21.8%	139	21.7%	153	21.5%	172
PBT Margin (%)	27.9%	28.4%	(53)	27.3%	50	27.5%	35
NPM (%)	21.5%	21.2%	30	20.5%	108	21.5%	2
Adj. NPM (%)	21.5%	21.2%	30	20.5%	108	21.5%	2
Effective Tax Rate (%)	22.6%	25.2%	(251)	25.2%	-251	21.8%	89

Source: Company, Axis Securities research

Financials (Standalone)

Profit & Loss

(Rs Cr)

Y/E March (Rs Cr)	FY25	FY26E	FY27E	FY28E
Net revenues	**18,451**	**22,766**	**25,353**	**27,910**
Operating expenses	13,683	16,943	18,898	20,727
EBIDTA	**4,768**	**5,824**	**6,455**	**7,183**
EBITDA margin (%)	**25.8**	**25.6**	**25.5**	**25.7**
Other income	1,359	1,611	1,711	1,911
Interest	14	28	29	30
Depreciation	684	741	792	882
Profit Before Tax	5,430	6,666	7,345	8,182
Tax	1,189	1,544	1,616	1,801
Reported Net Profit	**4,240**	**5,122**	**5,729**	**6,382**
Net Margin (%)	23.0	22.5	22.6	22.9
Adjusted Net Profit	**4,240**	**5,122**	**5,729**	**6,382**

Source: Company, Axis Securities research

Balance Sheet

(Rs Cr)

Y/E March (Rs Cr)	FY25	FY26E	FY27E	FY28E
Equity capital	27	27	27	27
Reserves & surplus	18,472	20,395	23,912	27,829
Shareholders' funds	**18,500**	**20,423**	**23,939**	**27,856**
Total Loans	810	810	810	810
Deferred tax liability	521	521	521	521
Total Liabilities and Equity	**19,831**	**21,754**	**25,270**	**29,187**
Gross block	7,297	8,297	9,297	10,297
Depreciation	3,962	4,703	5,495	6,376
Net block	3,335	3,594	3,802	3,920
Capital WIP	477	477	477	477
Investments	13,248	14,480	15,880	17,280
Inventory	1,106	1,578	1,727	1,893
Debtors	1,081	1,333	1,488	1,638
Cash & Bank Bal	3,034	2,695	4,510	7,108
Loans & Advances	1,567	1,567	1,567	1,567
Current Assets	**6,788**	**7,174**	**9,292**	**12,206**
Sundry Creditors	2,446	3,081	3,371	3,695
Other Current Liability	1,571	1,712	1,633	1,824
Current Liability& Provisions	4,016	4,793	5,004	5,519
Net current assets	2,772	3,203	5,112	7,510
Total Assets	**19,831**	**21,754**	**25,270**	**29,187**

Source: Company, Axis Securities research

Cash Flow

(Rs Cr)

Y/E March (Rs Cr)	FY25	FY26E	FY27E	FY28E
EBIT	4,084	5,083	5,663	6,301
Other Income	1,359	1,611	1,711	1,911
Depreciation & Amortization	684	741	792	882
Interest paid (-)	14	28	29	30
Tax paid (-)	(1,189)	(1,544)	(1,616)	(1,801)
Extra Ord Income	(1,309)	-	-	-
Operating Cash Flow	**3,643**	**5,919**	**6,579**	**7,323**
Change in Working Capital	109	287	159	199
Cash flow from Operations	**3,752**	**6,206**	**6,738**	**7,523**
Capex	(654)	(1,000)	(1,000)	(1,000)
Strategic Investment	-	-	-	-
Non-Strategic Investment	(1,616)	(1,232)	(1,400)	(1,400)
Cash flow from Investing	**(2,270)**	**(2,232)**	**(2,400)**	**(2,400)**
Change in borrowing	(128)	-	-	-
Others	-	-	-	-
Dividends paid (-)	(1,978)	(2,213)	(2,465)	(2,465)
Cash Flow from Financial Activities	**(2,107)**	**(2,213)**	**(2,465)**	**(2,465)**
Change in Cash	(625)	1,761	1,873	2,658
Opening cash	45	117	1,822	3,637
Closing cash	990	2,695	4,510	7,108

Source: Company, Axis Securities research

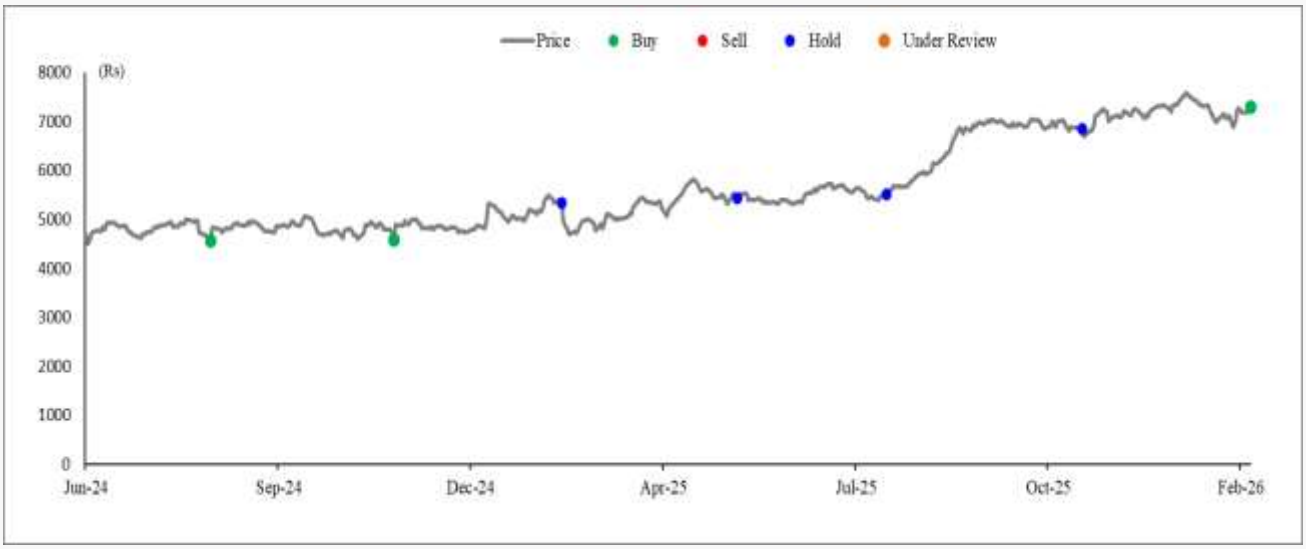
Ratio Analysis

(%)

Y/E March	FY25	FY26E	FY27E	FY28E
Revenue Growth	14.8	23.4	11.4	10.1
EBITDA Margin	25.8	25.6	25.5	25.7
Net Profit Margin	23.0	22.5	22.6	22.9
ROCE (%)	23.0	24.7	24.5	23.5
ROE (%)	24.8	26.3	25.8	24.6
EPS (Rs)	155.1	187.3	209.6	233.4
P/E (x)	47.0	38.9	34.8	31.3
P/ BV (x)	10.8	9.8	8.3	7.2
EV/ EBITDA (x)	38.6	31.4	27.8	24.4
Fixed Assets Turnover Ratio (x)	4.8	5.6	5.9	6.3
Debt / Equity (x)	0.0	0.0	0.0	0.0
EV/ Sales (x)	10.0	8.0	7.1	6.3

Source: Company, Axis Securities Research

Eicher Motors Ltd Price Chart and Recommendation History



Date	Reco	TP	Research
13-Nov-23	BUY	3,900	Result Update
14-Feb-24	BUY	4,250	Result Update
13-May-24	BUY	5,135	Result Update
09-Aug-24	BUY	5,060	Result Update
14-Nov-24	BUY	5,050	Result Update
11-Feb-25	HOLD	5,060	Result Update
15-May-25	HOLD	5,635	Result Update
04-Aug-25	HOLD	5,635	Result Update
14-Nov-25	HOLD	6,785	Result Update
11-Feb-26	BUY	8,060	Result Update

Source: Axis Securities Research

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